

02 Sources and recording of data

Corrected Topical Answers

5 selected hard questions

Exact mark-scheme extracts enlarged for clear reading

Contents

2.1 The double entry system of book-keeping

2 answer(s)

2.3 Books of prime entry

3 answer(s)

ANSWER / MARKING POINTS

4(a)	Sara Inventory account <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td>2023 Jan 1</td><td>Balance b/d</td><td>5 811</td><td rowspan="5">2023 Dec 31</td><td rowspan="3">Income statement (1)</td><td>5 811</td></tr><tr><td></td><td></td><td>5 811</td><td>5 811</td></tr><tr><td>Dec 31</td><td>Income statement (1)</td><td>6 275</td><td>6 275</td></tr><tr><td></td><td></td><td>6 275</td><td>6 275</td></tr><tr><td>2024 Jan 1</td><td>Balance b/d (1)</td><td>6 275</td><td></td></tr></table> + (1) dates						Date	Details	\$	Date	Details	\$	2023 Jan 1	Balance b/d	5 811	2023 Dec 31	Income statement (1)	5 811			5 811	5 811	Dec 31	Income statement (1)	6 275	6 275			6 275	6 275	2024 Jan 1	Balance b/d (1)	6 275		4
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4(b)	Sara Capital account <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td rowspan="3">2023 Dec 31</td><td rowspan="3">Drawings (1) Balance c/d</td><td>19 260</td><td rowspan="3">2023 Jan 1 Dec 31</td><td>Balance b/d</td><td>115 793</td></tr><tr><td>116 713</td><td>Income statement (1)</td><td>20 180</td></tr><tr><td>135 973</td><td>135 973</td></tr><tr><td></td><td></td><td></td><td>2024 Jan 1</td><td>Balance b/d (1)OF</td><td>116 713</td></tr></table>						Date	Details	\$	Date	Details	\$	2023 Dec 31	Drawings (1) Balance c/d	19 260	2023 Jan 1 Dec 31	Balance b/d	115 793	116 713	Income statement (1)	20 180	135 973	135 973				2024 Jan 1	Balance b/d (1)OF	116 713	3					
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		135 973		135 973																															
			2024 Jan 1	Balance b/d (1)OF	116 713																														

ANSWER / MARKING POINTS - continued

4(c)	Sara Statement of financial position at 31 December 2023			7
		\$	\$	\$
	Non-current assets	Cost	Accumulated depreciation	Net Book value
	Premises	100 000	–	100 000
	Fixtures and fittings	40 000	15 000	25 000
		<u>140 000</u>	<u>15 000</u>	125 000 (1)
	Current assets			
	Inventory		6 275	
	Trade receivables	8 540		
	Less Provision for doubtful debts	427	8 113 (1)	
	Cash		<u>350</u>	14 738 (1)OF
				<u>139 738</u>
	Capital and liabilities			
	Capital			
	Opening balance			115 793
	Profit for the year			20 180
				<u>135 973</u>
	Less drawings			19 260
				<u>116 713 (1)</u>
	Non-current liability			
	Loan			12 000 (1)
	Current liabilities			
	Trade payables		5 125	
	Other payables		1 000 (1)	
	Bank overdraft		<u>4 900</u>	11 025 (1)OF
				<u>139 738</u>

ANSWER / MARKING POINTS - continued

4(d)	Advantages May be able to sell to customers in a wider area/to customers without own transport/customer convenience (1) May increase gross profit/gross profit margin (1) The delivery vehicle may be used to advertise the business (1) Improved ability to compete with other traders (1) The business currently has no vehicles/new vehicle may have other uses (e.g. collecting purchases) (1) Max (2) Disadvantages Has a bank overdraft and a loan already so it may be difficult to obtain finance to buy the vehicle (1) Must consider extra costs (fuel, insurance/depreciation/driver's wages) (1) Any increase in sales/gross profit needs to be at least sufficient to cover the vehicle running costs (1) The vehicle would have a limited useful life and would then need to be replaced (1) Some customers/potential customers may be unwilling to pay the delivery charge/may switch to other suppliers (1) Max (2) Accept other valid points Recommendation (1)	5
4(e)	Revenue receipts are amounts received by a business from its usual <u>trading activities</u> (1)	1

ANSWER / MARKING POINTS - continued

5(a)	Sunita Journal	4
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ANSWER / MARKING POINTS

1(a)		Anika Journal		4
Date	Details	Debit \$	Credit \$	
2025				
March 1	Premises	90 000}		
	Motor vehicles	14 500}		
	Inventory	3 625}		
	Trade receivables – Kofi	3 000} (1)		
	Davia	2 140}		
	Petty cash	86}		
	Bank		1 080}	
	Trade payables – Ado		1 925} (1)	
	Sam		210}	
	Capital		110 136 (1)	
	Assets, liabilities and capital at this date (1)	<u>113 351</u>	<u>113 351</u>	

ANSWER / MARKING POINTS - continued

1(b)	Anika Petty Cash Book <table border="1"> <thead> <tr> <th>Total received \$</th><th>Date 2025</th><th>Details</th><th>Total paid \$</th><th>Motor expenses \$</th><th>Office expenses \$</th><th>Ledger accounts \$</th></tr> </thead> <tbody> <tr> <td>86</td><td>Mar 1</td><td>Balance b/d</td><td>(1)</td><td></td><td></td><td></td></tr> <tr> <td>64</td><td>6</td><td>Bank</td><td>(1)</td><td></td><td></td><td></td></tr> <tr> <td></td><td>10</td><td>Petrol</td><td>(1)</td><td>30</td><td></td><td></td></tr> <tr> <td></td><td>17</td><td>Computer paper</td><td>(1)</td><td>12</td><td>12</td><td></td></tr> <tr> <td></td><td>21</td><td>Sam</td><td>(1)</td><td>48</td><td></td><td>48</td></tr> <tr> <td></td><td>28</td><td>Postage</td><td>(1)</td><td>6</td><td>6</td><td></td></tr> <tr> <td></td><td></td><td>Car cleaning</td><td>(1)</td><td>8</td><td></td><td></td></tr> <tr> <td></td><td></td><td></td><td>104</td><td>38</td><td>18</td><td>48</td></tr> <tr> <td></td><td>31</td><td>Balance c/d</td><td>46</td><td></td><td></td><td></td></tr> <tr> <td>150</td><td></td><td></td><td>150</td><td></td><td></td><td></td></tr> <tr> <td>46</td><td>Apr 1</td><td>Balance b/d</td><td>(1)OF</td><td></td><td></td><td></td></tr> <tr> <td>104</td><td></td><td>Bank</td><td>(1)OF</td><td></td><td></td><td></td></tr> </tbody> </table> (1) dates (1) OF totalling analysis columns						Total received \$	Date 2025	Details	Total paid \$	Motor expenses \$	Office expenses \$	Ledger accounts \$	86	Mar 1	Balance b/d	(1)				64	6	Bank	(1)					10	Petrol	(1)	30				17	Computer paper	(1)	12	12			21	Sam	(1)	48		48		28	Postage	(1)	6	6				Car cleaning	(1)	8						104	38	18	48		31	Balance c/d	46				150			150				46	Apr 1	Balance b/d	(1)OF				104		Bank	(1)OF				11
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ANSWER / MARKING POINTS - continued

2(a)	Cost	\$ 10 000	3
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ANSWER / MARKING POINTS

5(a)	Sunita Journal <table><tr><th>Error number</th><th>Details</th><th>Debit \$</th><th>Credit \$</th></tr><tr><td>1</td><td>Purchases (1) Sales returns (1) Suspense (1) Correction of error of posting sales returns journal for November 2023 (1)</td><td>3 524 3 524</td><td>7 048</td></tr></table>					Error number	Details	Debit \$	Credit \$	1	Purchases (1) Sales returns (1) Suspense (1) Correction of error of posting sales returns journal for November 2023 (1)	3 524 3 524	7 048	4																																		
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5(c)(i)	<table><tr><td></td><td>\$</td></tr><tr><td>Original gross profit per draft financial statements</td><td>66 223</td></tr><tr><td>Error 1 (\$3524 × 2)</td><td>(7 048) (1)</td></tr><tr><td>Error 2</td><td>(90) (1)</td></tr><tr><td>Error 3</td><td>19 415 (1)</td></tr><tr><td>Gross profit for the year after correcting errors</td><td><u>78 500</u> (1) OF</td></tr></table>						\$	Original gross profit per draft financial statements	66 223	Error 1 (\$3524 × 2)	(7 048) (1)	Error 2	(90) (1)	Error 3	19 415 (1)	Gross profit for the year after correcting errors	<u>78 500</u> (1) OF	4																														
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Gross profit for the year after correcting errors	<u>78 500</u> (1) OF																																															

ANSWER / MARKING POINTS - continued

5(c)(ii)	\$ Original profit for the year per draft financial statements 28 750 Adjustment from 5(c)(i) (78 500 – 66 223) 12 277 (1)OF Error 6 (450) (1) Profit for the year after correcting errors 40 577 (1)OF	3
5(d)	Gross profit = $\frac{78\,500}{1}$ OF $\times \frac{100}{40}$ (1) whole formula = \$196 250 (1)OF	2

ANSWER / MARKING POINTS

5(a)	$(70 + 2) \times 130 = 9360$ (1)OF	2																																	
5(b)	Maira Income Statement (trading section) for the year ended 31 December 2020 <table style="width: 100%; border-collapse: collapse;"> <thead> <tr> <th></th><th style="text-align: right;">\$</th><th style="text-align: right;">\$</th></tr> </thead> <tbody> <tr> <td>Revenue</td><td></td><td style="text-align: right;">150 000 (1)</td></tr> <tr> <td>Cost of sales</td><td></td><td></td></tr> <tr> <td>Purchases $(1\,400 \times 70)$</td><td style="text-align: right;">98 000 (1)</td><td></td></tr> <tr> <td>Carriage inwards (1400×2)</td><td style="text-align: right;"><u>2 800</u> (1)</td><td></td></tr> <tr> <td></td><td style="text-align: right;">100 800</td><td></td></tr> <tr> <td>Less Goods taken for own use</td><td style="text-align: right;"><u>1 440</u> (2)CF/(1)OF</td><td></td></tr> <tr> <td></td><td style="text-align: right;">99 360</td><td></td></tr> <tr> <td>Less Closing inventory</td><td style="text-align: right;"><u>9 360</u> (1)OF from (a)</td><td></td></tr> <tr> <td>Gross profit</td><td></td><td style="text-align: right;"><u>90 000</u> (1)OF</td></tr> <tr> <td></td><td></td><td style="text-align: right;"><u>60 000</u> (1)OF (40% × revenue)</td></tr> </tbody> </table> Revenue $2 \times 10\,800 = 21\,600$ $8 \times 12\,000 = 96\,000$ $2 \times 16\,200 = \underline{32\,400}$ <u>150 000</u>		\$	\$	Revenue		150 000 (1)	Cost of sales			Purchases $(1\,400 \times 70)$	98 000 (1)		Carriage inwards (1400×2)	<u>2 800</u> (1)			100 800		Less Goods taken for own use	<u>1 440</u> (2)CF/(1)OF			99 360		Less Closing inventory	<u>9 360</u> (1)OF from (a)		Gross profit		<u>90 000</u> (1)OF			<u>60 000</u> (1)OF (40% × revenue)	8
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Gross profit		<u>90 000</u> (1)OF																																	
		<u>60 000</u> (1)OF (40% × revenue)																																	

ANSWER / MARKING POINTS - continued

5(c)	Advantages Maira would have all the necessary figures e.g. balances of individual ledger accounts (1) If the business grows, it will be more difficult to prepare financial statements from incomplete records (1) Detailed records would be available for future reference (1) More accurate comparisons year-on-year/with other businesses is possible (1) More informed decision making will be possible (1) The government/tax office may require an adequate amount of accounting records (1) If Maira wishes to sell the business, a potential buyer may wish to see full accounting records (1) Lenders/potential lenders can be provided with adequate information (1) Maira should be able to prepare financial statements more easily (1) Maira should be able to prepare financial statements more accurately (1) Assist in location of errors/checking procedures, e.g. control accounts may be used (1) The possibility of fraud would be minimised (1) Accept other valid points Max (2) Disadvantages Maira's financial statements may be prepared from incomplete records (1) Maira is busy so she may not have time for book-keeping (1) It may take Maira time to learn double-entry book-keeping (1) Any spare time which Maira can find may be better spent on e.g. marketing (1) If Maira pays a book-keeper to write up her books, the cost of this will reduce her profits (1) Accept other valid points Max (2) Recommendation (1)	5
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ANSWER / MARKING POINTS - continued

5(d)			Cash book	Purchases journal	Purchases returns journal	3
		Discount received from a supplier for prompt payment	✓(1)			
		Credit note received from a supplier			✓ (1)	
		Direct debit paid to a supplier	✓(1)			
5(e)			Comparability	Relevance	Reliability	2
		Maira's inventory valuation should be free from significant errors.			✓(1)	
		Maira's financial statements should be provided in time for her to use them when making decisions about her shop.		✓(1)		

ANSWER / MARKING POINTS

1(a)	Addo Sales journal				3
		Date	Details	\$	
		2024 Apr 2	Ava (150 – 9)	141	(1)
		12	Nuru	165	
		21	Mahia (480 – 24)	456	(1)
		30	Transfer to sales account	<u>762</u>	(1)OF

1(b)	Addo Journal				3
		Date	Details	Debit \$	Credit \$
		2024 April 30	Irrecoverable debts (1)	215	
			Rachel (1)		215
			Amount due from Rachel written off as irrecoverable (1)		

1(c)(i)	Total amount received = \$689 + \$627 + \$760 = \$2 076 (1)	1
1(c)(ii)	Total cash discount = \$40(1) + \$33 = \$73 (1)OF	2

ANSWER / MARKING POINTS - continued

1(d)	Addo Sales ledger control account <table><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td>2024 April 1 30</td><td>Balance b/d Sales (1)OF</td><td>3 658 762</td><td>2024 April 30</td><td>Sales returns Bank Discount allowed Irrecoverable debts Balance c/d</td><td>(1) (1)OF (1)OF (1) <u>2 026</u> <u>4 420</u></td></tr><tr><td>May 1</td><td>Balance b/d (1)OF</td><td><u>4 420</u> 2 026</td><td></td><td></td><td></td></tr></table>	Date	Details	\$	Date	Details	\$	2024 April 1 30	Balance b/d Sales (1)OF	3 658 762	2024 April 30	Sales returns Bank Discount allowed Irrecoverable debts Balance c/d	(1) (1)OF (1)OF (1) <u>2 026</u> <u>4 420</u>	May 1	Balance b/d (1)OF	<u>4 420</u> 2 026				6
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May 1	Balance b/d (1)OF	<u>4 420</u> 2 026																		
1(e)	Advantages Increased cash discount may encourage new customers/existing customers to buy more/increase sales (1) More customers may pay early because of extra discount/improve liquidity (1) Irrecoverable debts may be reduced (1) Increased credit check indicates ability to pay (1) Accept other valid points Max (2) Disadvantages More credit checks would take more time/cost more money (1) Less money coming in from sales (1) No guarantee that customers will pay early (1) Less profit on each sale/profit for the year will be reduced/expenses increased if give cash discount (1) No guarantee that there will not be any irrecoverable debts (1) Accept other valid points Max (2) Recommendation (1)	5																		

ANSWER / MARKING POINTS - continued

2(a)	Paul Journal	11
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